

slightly more indirect method is a partial liquidation, which has the effect of improving the payout ratio. The research shows that investors targeting net nets with low payout ratios will outperform those targeting net nets with higher payout ratios. While Graham recommended that investors lean toward profitable, dividend-paying net nets, as we have seen, it is in fact loss-making net nets that tend to outperform profitable ones and non-dividend paying net nets outperform dividend-paying net nets. The primary problem with net nets is their scarcity and small size. They are hard to find, and when they do appear, they are often too small to absorb much capital. The second strategy—the enterprise or acquirer’s multiple—embraces the same underlying philosophy as Graham’s net nets—buying stocks with liquid balance sheets trading at a significant discount to intrinsic value—but has the benefit of scaling more readily, and identifying undervalued large-capitalization companies.

ACTIVISM AND THE ACQUIRER’S MULTIPLE

Daniel Loeb launched Third Point Management in 1995 with just \$3.3 million in assets. He has since grown the assets under management to approximately \$14 billion in 2013 with an extraordinary 17.8 percent annualized record.⁷ Loeb is known for a method of agitation originated by another activist, Robert Chapman Jr., and which finds its roots in Icahn’s media campaigns: Attaching to schedule 13D filings open letters to management. Written in vivid language and employing a scorching, sarcastic tone, the letters are intended to attract publicity for Loeb’s campaigns. He has been described as the “Hunter S Thompson of activist letter writing,” a reference to the American journalist and author who founded the “Gonzo” style of experimental journalism. Gonzo uses “wild invention and wilder rhetoric,”⁸ as the author Tom Wolfe described it, in order to amuse and entertain while making biting social observation. Like Thompson, Loeb uses his caustic editorializing to help shine a light on whatever behavior or situation he finds objectionable. He has said he only resorts to poison-pen letters when other legal avenues are closed to him:⁹

Companies that have erected unnatural barriers such as “poison pills” and staggered boards make it impossible to call special meetings leave us with no alternative but to pursue the social-pressure angle, and that’s a phenomenon of their own making. We would just as soon put it to a vote.

The letters serve two purposes. First, they function like a marketing brochure, drawing other investors’ attention to the company’s